

THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Latvia 2021



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Description of policy rules for 2021

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Preface

This report provides a detailed description of the tax and benefit rules in Latvia as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **1 January 2021**.
- The symbol ⓘ in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**.
- COVID-related measures are provided in **blue font**.
- Sickness benefits and Short-time work schemes described in Sections 9 and 10 are not included in the model.

The OECD tax-benefit model for Latvia: Policy rules in 2021

1. Reference wages and other reference amounts

Average wage **[AW]**: The OECD tax-benefit model uses Secretariat estimates of the average full-time wage (available [here](#))¹. If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate.

The minimum wage **[MIN]** in 2021 is EUR 500 per month. The annual minimum wage is computed by multiplying the minimum monthly wage (as of 1 January 2021) by 12, i.e. EUR 500 * 12 = EUR 6 000.

2. Unemployment benefits

2.1. Unemployment benefit (*Bezdarbnieka pabalsts*)

Variable names: **[UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and not taxable. 

2.1.1. Eligibility conditions

Age: Person has reached 15 years of age and has not reached the statutory pension age necessary for the granting state old-age pension (or earlier retirement old-age pension).

Contribution/employment history: Unemployment benefit is granted to an unemployed person, whose length of period of insurance is not less than one year and for whom mandatory social insurance contributions have been paid for a period of not less than 12 months within the last preceding 16 months before obtaining of the status of unemployed.

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the following compulsory conditions are satisfied when simulating unemployment benefits.³ The benefit claimant is:

¹ Average Wages are estimated by the [Centre for Tax Policy and Administration](#) at the OECD. For more information on methodology see the latest [Taxing Wages publication](#).

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see [Immervoll and Knotz \(2018\)](#), [Langenbacher \(2015\)](#) and [Venn \(2011\)](#).

1. registered with the State Employment Agency;
2. not working (is not considered to be an employee or a self-employed person);
3. involuntarily unemployed;⁴
4. actively seeking employment;
5. able to work and ready to enter into employment relationships without delay;
6. not acquiring an education at a general secondary or vocational secondary education institution, excluding evening schools;
7. not performing commercial activities or his or her commercial activities have been suspended in accordance with regulatory enactments;
8. not completely state supported.

2.1.2. Benefit amount

Calculation base: The average insurance contribution wage for determining unemployment benefit is calculated as an average of the person's insurance contribution wages (i.e. monthly incomes from which state social insurance contributions are made) for a 12 month period, such period ending two calendar months prior to the month in which the person became unemployed. The two months when the person had the highest and the lowest contributions wage are not taken into account when computing the average.

Benefit amount: Unemployment benefit amount depends on persons' social insurance contribution wage and the length of the insurance period:

Insurance Record	% of average social insurance contributions wage
from 1 to 9 years (inclusive)	50%
from 10 to 19 years (inclusive)	55%
from 20 to 29 years (inclusive)	60%
above 30 years (inclusive)	65%

The unemployment benefit decreases over time. Since 1 January 2020, the benefit amount decreases after every two months (previously after every three months). The following share of the full benefit is paid depending on duration of the unemployment:

- first 2 months of unemployment: 100% of the full benefit,
- for the 3 and 4 months of unemployment: 75% of the full benefit,
- for the 5 and 6 months of unemployment: 50% of the full benefit;
- for the 7 and 8 months of unemployment: 45% of the full benefit.

Because of Covid-19 emergency, the duration of the benefit was extended by introducing a temporary unemployment assistance benefit (*bezdarbnieka palīdzības pabalsts*). These amendments entered into force on 26 April 2020, but are applied to all unemployment benefit recipients whose benefit spell expires on 12 March 2020 or later and who has not

⁴ Eligibility for unemployment benefit in Latvia does not depend on whether the job loss is "voluntary" or not. Voluntarily dismissal affects the granting procedure of unemployment benefit. If a person has become unemployed on the basis of his or her notice (voluntary) or due to a violation, the unemployment benefit shall be granted not earlier than two months after the day when the status of an unemployed person was obtained. Two months waiting period has been introduced in order to motivate people to retain their jobs and not to violate labour contracts and working regulations.

found a job due to COVID-19 emergency. The unemployment assistance benefit is provided for up to four additional months (the period was prolonged up to 6 months since 9 November 2020). The benefit amount is EUR 180 per month. This program is to be active until 30 June 2021. This benefit extension is included in the model for 2021. This is an unemployment assistance benefit and it is included in variables: `[UA_p; UA_s]`.

2.1.3. *Benefit duration*

Since 1 January 2020, the maximum unemployment benefit payment period is 8 months (previously 9 months).

Due to Covid-19 emergency, the benefit is extended for additional four months; six month since 9 November 2020 (see Section 2.1.2.).

After expiration of unemployment benefit a person can apply for next unemployment benefit only after unemployment insurance contributions have been made for not less than 12 months in time period of 16 months.

2.1.4. *Means test*

The benefit is not means-tested.

2.1.5. *Tax treatment*

The benefit is not taxable.

2.1.6. *Interactions with other components of the tax-benefit system*

One cannot receive the parental benefit and unemployment benefit at the same time. Payment of the parental benefit is suspended for the duration of the unemployment benefit. Payment of the unemployment benefit is suspended for the duration of the sickness benefit.

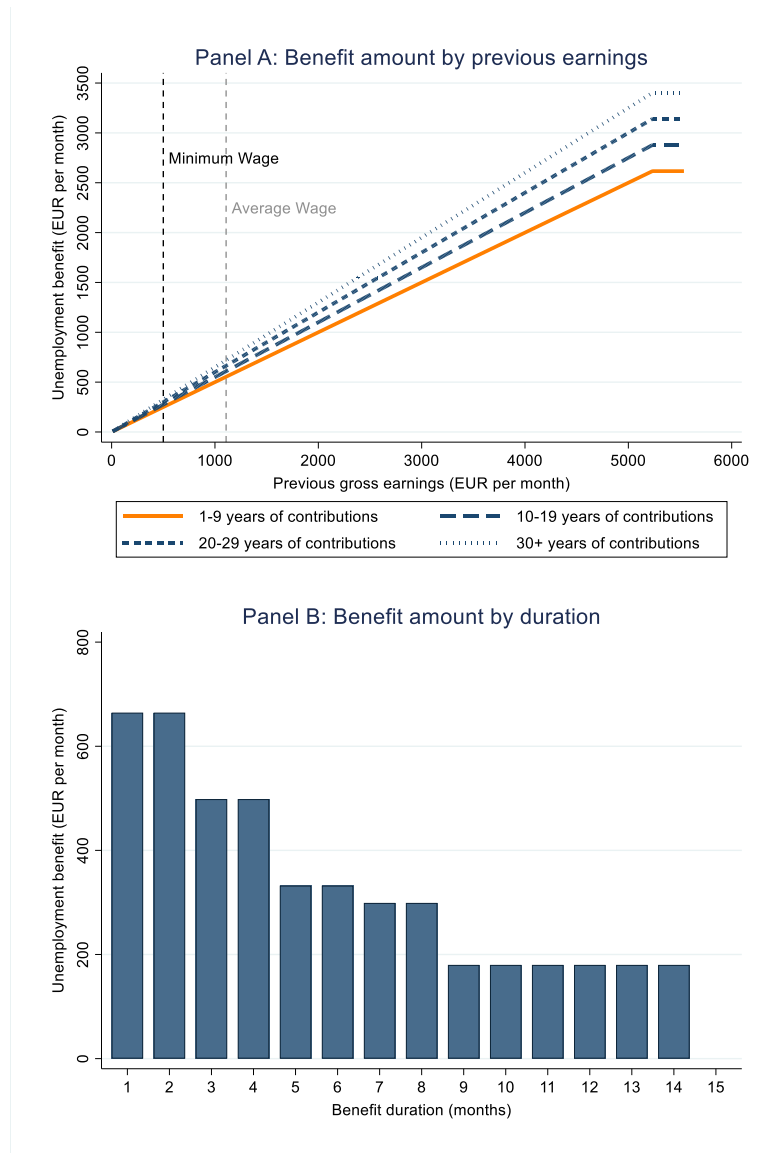
2.1.7. *Combining benefit receipt and employment/starting a new job*

The payment of unemployment benefit shall be temporary suspended if an unemployed person obtains the status of an employee twice in a 12-month period for a time period of up to 60 days in total. The benefit is terminated in case of a longer employment duration.

Due to Covid-19 emergency, short-term work has been made more compatible with unemployment benefit. An unemployed person can be employed in short-term jobs (for example, seasonal jobs) twice in a 12-month period, not exceeding 120 days in total (previously maximum 60 days). As before, the benefit is suspended during the working period. This new rule applies from 18 April 2020 to 31 December 2021.

Figure 1. Unemployment benefit

50-year old single person without children



Note: Benefit rules do not depend on family structure. A person is assumed to have at least 12 months of previous employment record. Panel A shows benefit amount in the 2nd month of benefit receipt. Panel B shows benefit amount for a person with previous earnings at the average wage and employment record of 22 years. The results refer to the policy rules as of 1 January 2021. The results include a temporary extension of the unemployment benefit (“unemployment assistance benefit”) for additional six months, see months 9 to 14 in Panel B.

Source: OECD Tax-Benefit Model.

3. Social assistance and housing benefits

3.1. *Guaranteed minimum income benefit (Garantētā minimālā ienākuma pabalsts)*

Variable name: **[SA]**

This is a non-contributory benefit, means-tested and not taxable.

Since 1 January 2021, GMI level is set at the national level and is the same for all municipalities. Municipalities cannot set higher levels of GMI. However, they can set up other types of support for specific groups of clients.

3.1.1. *Eligibility conditions*

The benefit is granted to a household or a separately living person whose income does not reach the amount of the nationally defined GMI and who does not own any funds or property beyond the limits defined in the law. GMI benefit is paid on the basis of net income and assets test. Since 1 January 2021, a person/family no longer needs to correspond to the “needy household” status to be eligible to GMI, but taking into a consideration that the GMI level is lower than the “needy household” income level, all receivers of GMI benefit have also rights to receive “needy household” status.

Adult claimants of GMI benefit have an obligation to fulfil the duties of participation prescribed in the Law On Social Security and Law on Social Services and Social Assistance.

3.1.2. *Benefit amount*

GMI benefit is calculated as a difference between GMI level for a household or separately living person and their income. The standard level of GMI per person at the national level is set by the Cabinet of Ministers: EUR 109 per month for the 1st person in household (or for a separately living person), EUR 76 per month for 2nd and each next person in household (since 1 January 2021).

The benefit is calculated according the formula:

$$P = GMI^1 + GMI^2 \times n - I,$$

Where P - Guaranteed minimum income benefit;

GMI¹ - Guaranteed Minimum Income level for the first member of the household or separately living person set by the Cabinet of Ministers;

GMI² - Guaranteed Minimum Income level for the second member of the household set by the Cabinet of Ministers;

n – Number of additional household members (excluding the first one);

I - Net income of the household.

In cases of refusing to fulfil duties of participation a total amount of GMI benefit reduces by part of adult who has refused.

GMI benefit can be paid in cash or in kind.

3.1.3. *Benefit duration*

Benefit is granted for the period of 3 or 6 month. If the conditions persist, the beneficiary can apply repeatedly.

If during the period when household has obtained GMI benefit there have taken place changes in the family structure, income level or social status, a social service office has to make evaluation repeatedly. The decision on the assignment of GMI benefit granting shall be taken by the social service office within one month.

GMI benefit is granted to a family for a period of one month, if family's income level complies with the level defined by legislation, but other criteria are not satisfied.

3.1.4. *Means test*

When estimating the assistance amount all net income of household is taken into account. Since 1 January 2021 the law determines which income positions and which properties are not taken into account during the assessment of the the material situation of the household for receiving social assistance.

The principal amount of the loan granted for the purchase of the only dwelling and interest payments, as well as part of the income from the alienation of the property used for the purchase of the only dwelling are not considered as income.

Calculating the average income, the social service office of the local government shall exclude the amount of money, which is paid by the person as maintenance for a child. Since 1 April 2021, the social service office shall also exclude the amount of money, which is *received* by the person as maintenance for a child from other parent or from the Maintenance Guarantee Fund.⁵ The excluded amount shall not exceed the minimum amount of maintenance for each child determined in the State, except the case when maintenance is paid according to enforcement order.

The following benefits are not considered as income:

- family state benefit (including supplement) (*this is the only benefit out of this list covered in the model*)
- childbirth allowance
- disabled child care allowance
- supplement to the state family benefit for disabled child
- benefit to a disabled person requiring special care
- transport allowance for disabled persons with restricted mobility
- funeral benefit
- support for children suffering from coeliac disease
- benefit for the services of an assistant
- social assistance benefits previously disbursed by the local government
- social guarantees to an orphan and a child left without parental care after termination of extra-familial care
- scholarships and travel expenses in educational institutions up to the amount of the minimum wage
- student loans

⁵ In 2021, this rule is not included in the model because the policy reference date is 1 January 2021. This rule will be added to the model for policy year 2022.

- compensation to a victim of criminal proceedings
- remuneration for the donation of blood or blood components
- refund of overpaid personal income tax
- one-time financial support for a refugee or a person who has acquired alternative status
- monetary funds obtained from charity funds
- financial benefit obtained as a result of social campaigns.

Since 1 January 2021 the law determines the types of property and assets that are not taken into account in the means test:

- real property or a part thereof which is used as dwelling of the household
- the land property which together with the land within the composition of the immovable property referred before does not exceed 5 ha for the family (person), and also holding's facilities (for example, garage, barn, granary, shed, cellar, bath-house, garden-house) or not more than two holding's facilities on the rented land functionally belonging to such immovable property
- the child's property and cash savings
- real estate or a part of it belonging to a person living in the applicant's household where have declared their place of residence and live first-degree adult relatives of the applicant who do not own other real estate
- the housing furniture as well as clothes and household objects which belong to the person (household) at the time of the claim
- movable property – mechanical vehicles – no more than one unit for the family (person) or two vehicles for families with children
- shares which cannot be disposed of due to pending insolvency proceedings, accumulated savings up to EUR 272 per household.

The model assumes that the assets are sufficiently low and the asset test is satisfied.

3.1.5. *Tax treatment*

The benefit is not taxable.

3.1.6. *Interaction with other components of the tax-benefit system*

GMI benefit receipt doesn't affect the right of a person to claim other social assistance benefits. GMI benefit is included in the means test for housing benefit.

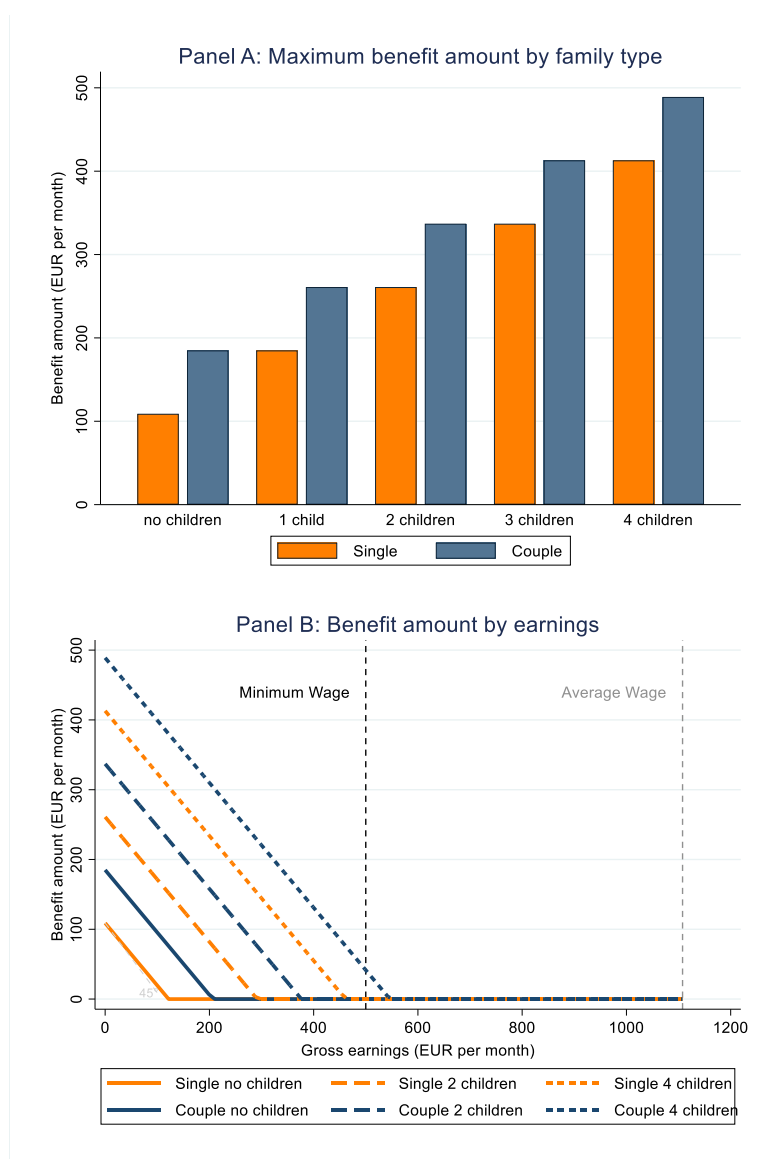
3.1.7. *Combining benefit receipt and employment/starting a new job*

GMI benefit receipt can be combined with employment if the means test and other eligibility conditions are satisfied.

In order to improve coverage of social assistance benefits and introduce additional incentives to motivate the beneficiaries of social assistance to get a paid job (stimulation of making work pay), the Amendments to the Law on Social Services and Social Assistance came in force as of 9 February 2017. The amendments introduced disregards on net earnings (to the extent of the net monthly minimum wage) for 3 months after starting employment.

Figure 2. Guaranteed minimum income benefit

40-year old single person and couple with or without children



Note: The results assume no receipt of unemployment benefits as well as other benefits, which are usually included in the means test for GMI benefit. Panel A shows maximum benefit amount for a jobless family with no income. Panel B shows the reduction in benefit amount if one adult starts working. Horizontal axis shows gross earnings. The 45° line shows how the benefit of a single person would have been withdrawn if it would be reduced by 1 EUR for every gross EUR earned. The actual withdrawal rate is slower because the means test is based on net income. The benefit decreases by 1 EUR for every net EUR earned. The results refer to the policy rules as of 1 January 2021.

Source: OECD Tax-Benefit Model.

3.2. *Housing benefit (Dzīvokļa pabalsts)*

Variable name: **[HB]**

This is a non-contributory benefit, means-tested and not taxable.

Until 1 July 2021, the eligibility rules, amounts and payment procedures vary by municipality. The OECD tax-benefit model simulates housing benefit following the rules in force on 1 January 2021. In the model, the rules for Riga municipality are simulated.

Since 1 July 2021, national regulations⁶ set basic principles for calculation and granting of housing benefit (renamed “Mājokļa pabalsts”), which are similar to previous Riga municipality model. However, municipalities can set additional eligibility rules, maximum amounts and payment procedures. The new rules will be included in the OECD tax-benefit model in 2022.

3.2.1. *Eligibility conditions*

The rights to housing benefits are granted to households or separately living persons being unable to meet basic needs. Housing costs and rules defining whether a family or a person is eligible to receive the benefit vary by municipality.

In Riga municipality, the income of a claimant must not exceed EUR 320 per month per person for multi-person household or separately living person. In case of a separately living old-age or disability pensioner (or recipient of state social security benefit) the income limit is EUR 400 per month (*not covered by the model*). A family or a separately living person who meets these criteria receives a status of low-income family.

3.2.2. *Benefit amount*

Until 1 July 2021, municipalities define the benefit calculation procedure. In some municipalities, benefit is estimated as a difference between the guaranteed minimum income (GMI) level plus living space consumption costs and public utility service costs minus net income of claimant; in other municipalities, the benefit is a fixed amount.

In Riga municipality, the benefit is estimated as a difference between the guaranteed minimum income (GMI) level plus actual housing expenses minus net income of claimant:

$$P = GMI^* + K - I$$

P – amount of housing benefit;

GMI* – maximum level of guaranteed minimum income for the household;

K – the amount of actual expenses indicated in the invoices for payments related to the use of housing (not exceeding the amount of expenses for the use of housing specified in the national or local government regulations);

I – income of assistance claimants (including the benefit received in the respective month to ensure the GMI level).

⁶ <https://likumi.lv/ta/id/319717-noteikumi-par-majsaimniecibas-materialas-situacijas-izvertesanu-un-socialas-palidzibas-sanemšanu>

"K" is comprised of housing expenditure items (e.g., heating, water, electricity, rent, etc.) and average consumption standard per person in the household according to the price list, which is defined by regulations of Riga municipality.

The model assumes that a family rents accommodation in the private rental market. The model considers only housing expenditure on rent.⁷

Since 22 January 2020 (applied for the full month of January), the regulations of Riga City Council define normative expenses on rent in the following way:⁸

- The area of the accommodation considered for calculations is 32 m² for one person and 18 m² for each subsequent person. In certain cases, the allowance can be calculated for the whole area (*not considered in the model*).
- The benefit covers the rent as specified in the lease agreement, but not more than:
 - EUR 8 per m² per month for a dwelling with a total area of up to 32 m²
 - EUR 7 per m² per month for a dwelling with a total area over 32 m² and up to 45 m²
 - EUR 5 per m² per month for a dwelling with a total area over 45 m²

In the period from 1 January 2014 to 21 January 2020, the maximum rent per m² per month was EUR 4.27 (regardless of the area). In 2008-2013, it was LVL 3 per m² per month; in 2007 – LVL 2.⁹

The maximum dwelling size is assumed to be 70 m².

Housing benefit can be paid in cash or in kind.

3.2.3. *Benefit duration*

Benefit duration is established by local municipality's regulation. In some municipalities housing benefit is granted on a monthly basis, in other municipalities - once during the heating season. Benefit claimants must declare their income every 3 to 6 months. However, some municipalities grant housing allowance once a year.

3.2.4. *Means test*

When estimating the assistance amount all net income of household is taken into account. The types of income excluded from calculation of housing benefit are the same as in case of GMI benefit (see Section 3.1.4.).

3.2.5. *Tax treatment*

Benefits are not taxable.

⁷ In the standard OECD tax-benefit calculations, the rent is assumed to be equal 20% of the Average Wage for all household types.

⁸ <https://likumi.lv/ta/id/254202-par-gimenes-vai-atseviski-dzivojosas-personas-atzisanu-par-trucigu-vai-maznodrosinatu-un-socialajiem-pabalstiem-rigas>

⁹ <https://likumi.lv/ta/id/84822-par-dzivokla-pabalstu-rigas-iedzivotajiem>. In 2005-2006, the same limits as in 2007 are assumed.

3.2.6. *Interaction with other components of the tax-benefit system*

It is possible to receive the housing benefit together with other social assistance benefits.

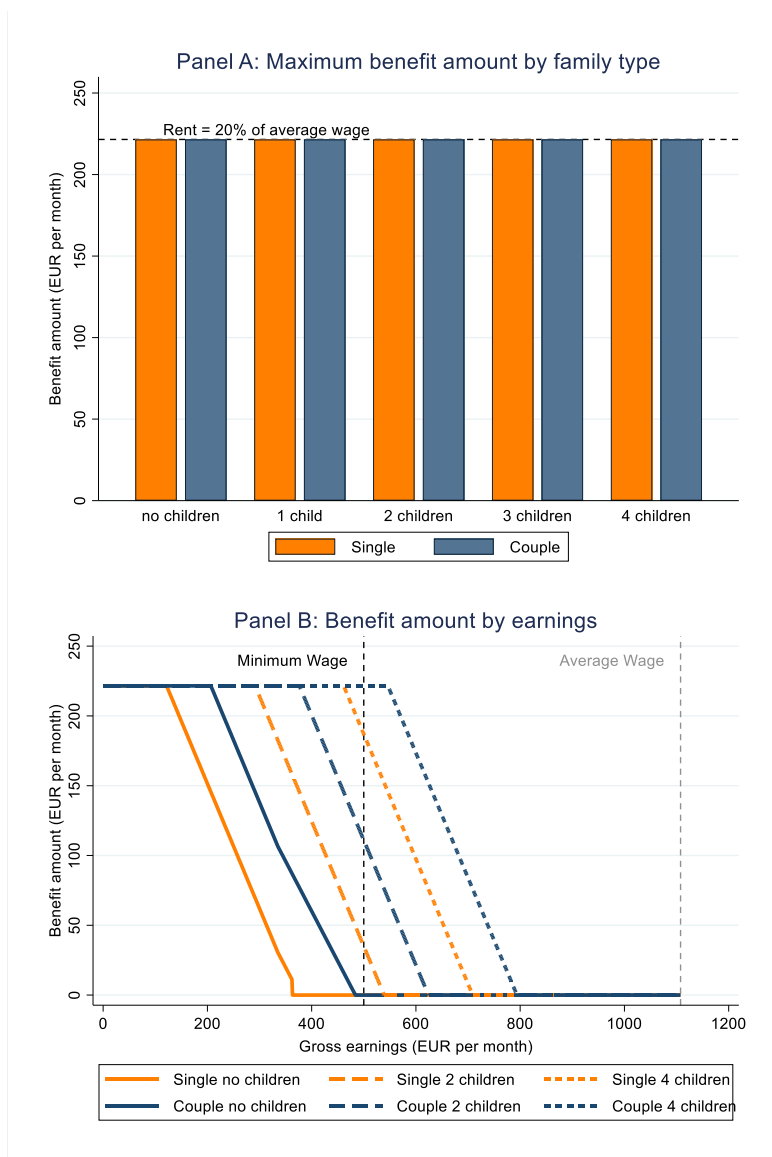
3.2.7. *Combining benefit receipt and employment/starting a new job*

Housing benefit receipt can be combined with employment if the means test and other eligibility conditions are satisfied.

In order to improve coverage of social assistance benefits and introduce additional incentives to motivate the beneficiaries of social assistance to get a paid job (stimulation of making work pay), the Amendments to the Law on Social Services and Social Assistance came in force as of 9 February 2017. The amendments introduced disregards on net earnings (to the extent of the net monthly minimum wage) for 3 months after starting employment.

Figure 3. Housing benefit

40-year old single person and couple with or without children

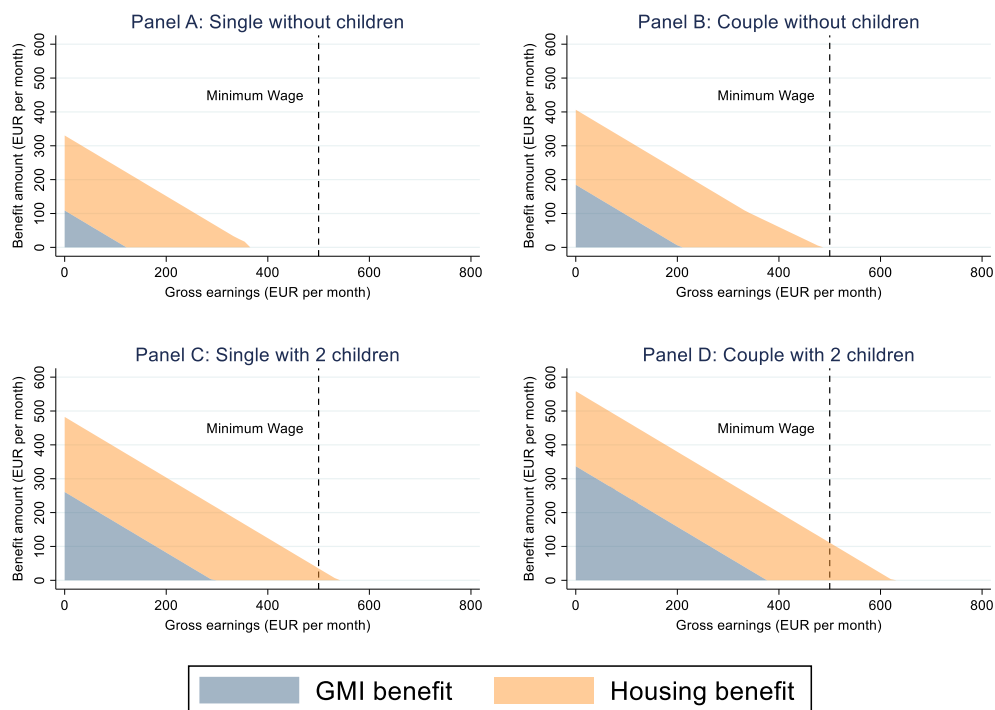


Note: A family resides in Riga. The results assume that the family receives GMI benefit, but no unemployment benefits or other benefits, which are usually included in the means test for GMI and housing benefits. Panel A shows maximum benefit amount for a jobless family with no income. Panel B shows the reduction in benefit amount if one adult starts working. Horizontal axis shows gross earnings, whereas the means test is based on net income. The benefit decreases by 1 EUR for every net EUR earned. The slope of the lines becomes flatter when families start paying income tax. The benefit for a single person is fully withdrawn when net income exceeds EUR 320 per month, i.e. a threshold for a low-income family. The results refer to the policy rules as of 1 January 2021.

Source: OECD Tax-Benefit Model.

Figure 4. Guaranteed minimum income and housing benefits

40-year old single person and couple with or without children



Note: A family resides in Riga. The results assume no receipt of unemployment benefits as well as other benefits, which are usually included in the means test for GMI and housing benefits. The figure shows the reduction in benefit amounts if one adult starts working. Horizontal axis shows gross earnings.
Source: OECD Tax-Benefit Model.

4. Family benefits

4.1. Family state benefit (*Ģimenes valsts pabalsts*)

Variable name: `[FB_main, FB_supp]`

This is a non-contributory benefit, not means-tested and not taxable.

4.1.1. Eligibility conditions

Family state benefit shall be granted to a person (a parent or care-giver) that is raising a child, which is at least one year old and not older than 15; or, if older than 15 (but not older than 20), attends general or professional educational school and is not married.

4.1.2. Benefit amount

The amount of family state benefit is EUR 11.38 per month for the first child, twice as much for the second child (EUR 22.76), 3 times as much for the third child (EUR 34.14) and 4.4 times as much for the fourth and following children (EUR 50.07).

As of March 2018 the financial support for families with two and more children has been increased: families with two children (children from 1 year of age up to age 20) receive supplement to the state family benefit amounting EUR 10 per month, families with three children – EUR 66 per month, the amount of supplement to the state family benefit is increased by EUR 50 for fourth and each subsequent child up to age 20, i.e. families with four children receive supplement at the amount of EUR 116 per month, families with five children – EUR 166 per month, etc.

4.1.3. Benefit duration

As long as the eligibility conditions hold.

4.1.4. Means test

The benefit is not means-tested.

4.1.5. Tax treatment

The benefit is not taxable.

4.1.6. Interaction with other components of the tax-benefit system

The benefit is universal and can be received together with any other benefit.

4.1.7. Combining benefit receipt and employment/starting a new job

The benefit is universal; employment doesn't affect benefit receipt.

4.2. Maintenance Guarantee Fund (*Uzturliīdzekļu garantiju fonds*)

Variable name: `[lp_alim]`

This is a non-contributory benefit, not means-tested and not taxable.

4.2.1. *Eligibility conditions*

The Administration of the Maintenance Guarantee Fund (which is under the responsibility of the Ministry of Justice) disburses child support (minimum maintenance amount) to children in case if one of the parents does not fulfil his/her obligations towards the child and does not ensure the minimum amount of child support. Means of subsistence (alimony) is granted to children till they reach the age of 21 (if child attends basic, general or professional educational school) in the event of their parent's divorce.

4.2.2. *Benefit amount*

The minimum amount of payment is determined by the Cabinet of Ministers¹⁰:

- 25% of the minimum monthly wage (i.e. EUR 125 per month in 2021) for each child aged below 7
- 30% of the minimum monthly wage (i.e. EUR 150 per month in 2021) for each child aged 7-17.

4.2.3. *Benefit duration*

As long as eligibility conditions hold.

4.2.4. *Means test*

Not means-tested.

4.2.5. *Tax treatment*

Non-taxable.

4.2.6. *Interaction with other components of the tax-benefit system*

The benefit is universal and can be received together in any other benefit.

4.2.7. *Combining benefit receipt and employment/starting a new job*

Employment doesn't affect benefit receipt.

4.3. **Childcare benefit** (*Bērna kopšanas pabalsts*)

Variable name: **[childcare_benefit]**

This is a non-contributory benefit, not means-tested and not taxable.

4.3.1. *Eligibility conditions*

The childcare benefit is given to all families with a child under 2 years old. The benefit can't be received simultaneously with maternity leave benefit.

4.3.2. *Benefit amount*

The amount of childcare benefit is:

¹⁰ <https://likumi.lv/ta/id/254128-noteikumi-par-minimalo-uzturlidzeklu-apmeru-bernam>

- for persons who are raising children aged under 1.5: EUR 171 per month per child;
- for persons who are raising children aged between 1.5 to 2: EUR 42.69 per month per child.

For the period during which the State has declared an exceptional situation in relation to Covid-19 (from 12 March to 9 June 2020), the amount of child care benefit for a person with children aged between 1.5 to 2 years was paid at the amount of EUR 171 (before EUR 42.69) per month.

4.3.3. *Benefit duration*

As long as eligibility conditions hold.

4.3.4. *Means test*

Not means tested.

4.3.5. *Tax treatment*

Non-taxable.

4.3.6. *Interaction with other components of the tax-benefit system*

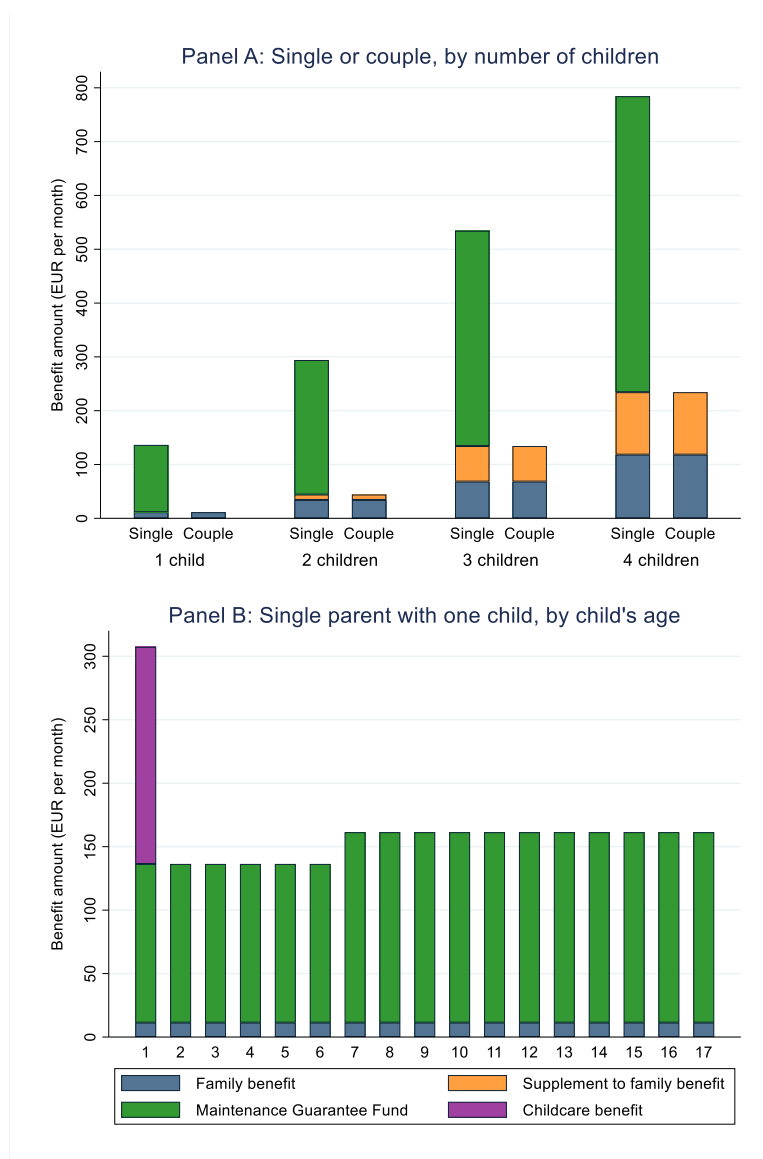
The benefit is universal and can be received together in any other benefit, but is counted as income in the means tests for social assistance and housing benefit. The benefit cannot be received simultaneously with maternity leave benefit.

4.3.7. *Combining benefit receipt and employment/starting a new job*

Both working and non-working parents can receive child care benefit.

Figure 5. Family benefits

40-year old single person or couple with children



Note: Family benefits do not depend on income. All children from 7 to 17 years old are assumed to attend school and satisfy other conditions for being considered a dependent child. In Panel A, children's ages are 4, 6, 8, and 10. In Panel B, child's age varies from 1 to 17 years old. The amount of the benefit corresponds to the month when a person has just turned 1, 2, ... 17 years old.

Source: OECD Tax-Benefit Model.

5. Net costs of Early Childhood Education and Care

The **reference date** for the policy rules described in this section is **1 January 2021**.

Children up to 7 years of age participate in a pre-school education programme. Depending on the state of health and psychological preparedness of children and according to the parents' wishes and decision of the family doctor, the mastery of the pre-school education programme may be prolonged or shortened by one year. Participation is compulsory for 5 and 6-year old children and municipalities must provide a place from this age, but children can start attending public kindergartens from the age of 18 months. The Ministry of Education and Science provides state earmarked subsidies to municipalities and private education institutions for the pre-school education (5 and 6-year old children) teachers' remuneration.

5.1. Gross childcare fees

Variable name: `[LVcc_cost]`

In public kindergartens (the example considered in the model), there are no tuition costs but parents have to pay for children's meals. These fees are set by each municipality. Meals are provided three times a day (breakfast, lunch and afternoon snacks) at a low cost, usually totalling EUR 2 to 4 per day. In Riga, parents have to pay for meals EUR 1.99 per day (*Riga is assumed in the model*). Some charges may be made for additional services, for instance, foreign language classes for children. Such fees are not covered in the model.

There are also private kindergartens and child-minding services, which are typically more expensive, though fees for these services are not considered in the model.

5.1.1. Discounts for part-time usage

If a child stays in an institution for only part of the day, the fee that parents have to pay for meals remains the same. There are different payment rules in private institutions.

5.2. Fee discounts and free provision

Public childcare provision is free. Municipalities may reduce the fees for meals for children from low-income families, and most of those in rural areas do. In Riga, families with 3 children or more as well as families with poor or low-income status are eligible for free meals (see Sections 3.1.1. 3.2.1. for definition of poor and low-income families).

During the Covid-19 emergency limited number of public childcare facilities remained open to look after children of essential service workers and parents who cannot provide childcare by themselves. If public childcare facilities are closed, municipalities continue providing free meals to eligible vulnerable families to support them during the emergency situation.

Additional support is offered to parents of children who do not have access to public childcare due to availability. This support is paid directly to private education institutions which particular child is attending (*not covered by the model*).

Between 2013 and 31 May 2016 financial support was provided by both central and local governments for parents of children aged 1.5 - 4 years and who are not benefiting from public childcare. Since December 2015, municipalities are responsible to provide co-financing for all children who started pre-school education in the private education

institutions due to the long waiting lists. Since 1 January 2017, municipal support is differentiated for children aged 1.5 to 4 and for children 5-6 years old.

The local governments do not have a binding requirement to ensure co-financing for children who are using child minding (nanny) services, however, in total, in 2020, 22 municipalities according to their budgetary possibilities, have determined the amount of support for children using childcare services.

In 2021, average municipal support for children from 1.5 to 4 years is EUR 256.11 (per child per month), and for children undergoing compulsory pre-school education - EUR 174.72. The average municipal support for child minding (nanny) services is EUR 166.59.

In Riga, the amount of support in 2021 for children from 1.5 to 4 years is EUR 266.69 and for children undergoing compulsory pre-school education - EUR 199.63. Riga support for children who are using child minding (nanny) services is EUR 151.13.

5.3. *Child-care benefits for formal centre-based care*

Variable name: `[cc_benefit]`

There are no special childcare benefits to parents of children in public kindergartens.

5.4. *Child care allowance for children not using child care centers*

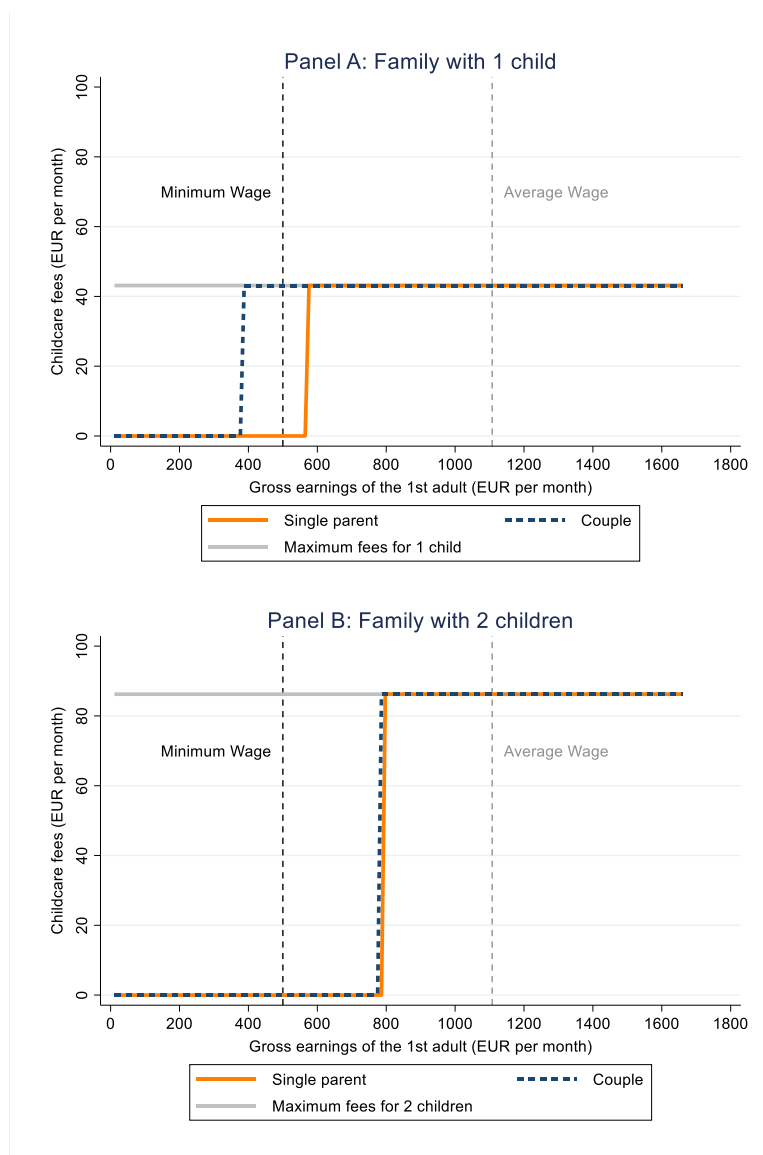
None.

5.5. *Tax concessions for childcare expenditures*

None.

Figure 6. Childcare fees paid by parents

40-year old single person or couple with children



Note: Both parents are working full time and use public childcare for all children for the full day. In a couple, the second adult earns 67% of the average wage. Horizontal axis shows gross earnings of the first adult only. Single parents receive support from the maintenance guarantee fund. Families may also receive other benefits, such as GMI and housing benefits (if eligible). These benefits are included in the means test for childcare fee reductions. Children are 2 and 3 years old. Families live in Riga. Parents with 3 children or more are fully exempt from fees.

Source: OECD Tax-Benefit Model.

6. In-work benefits

None.

7. Social security contributions and payroll taxes

7.1. Social security contributions (*Sociālās apdrošināšanas obligātās iemaksas*)

Variable names: `[SOCSEC_general_p; SOCSEC_general_s; SSCR_general_p; SSCR_general_s]`

From 2021, general social security contributions rate has been reduced by 1 percentage point, i.e. from 35.09% to 34.09%: the employer rate reduced from 24.09% to 23.59% and the employee rate from 11.0% to 10.5%. Social insurance contributions rate covers:

- state pensions insurance – 23.91% (from state pensions insurance 14% finances the notional defined-contribution (NDC) or 1st pillar pension scheme and 6% is directed to the person's individual account within the state mandatory funded defined contribution pension scheme (FDC) or 2nd pillar pension scheme. If the person is not a member of a 2nd pillar pension scheme then state pensions insurance 20% is directed to 1st pillar pension scheme);
- unemployment insurance – 1.60%;
- occupational accident insurance – 0.66%;
- disability insurance – 2.29%;
- maternity and sickness insurance – 3.47%;
- parental insurance – 1.16%;
- health insurance – 1.00%.

The social security contributions ceiling in 2021 is EUR 62 800 per year.

7.2. Entrepreneurship risk state duty (*Uzņēmējdarbības riska valsts nodeva*)

Variable names: `[ersd_p; ersd_s]`. In the model, entrepreneurship risk state duty is included in variable `[SSCR]`.¹¹

In accordance with the law On Protection of Employees in Case of Employer's Insolvency employers who according to law can be announced as bankrupt shall pay entrepreneurship risk state duty into the Employee Claims Guarantee Fund to satisfy employees claims in the event of the insolvency of enterprise. The duty does not apply to state/local government or other legal persons governed by public law.¹² The holder and manager of the resources of the Employee Claims Guarantee Fund shall be the State agency "Insolvency Administration". From the Employee Claims Guarantee Fund the following claims may be covered:

1. work remuneration for the last three months of the employment relationship during 12 months before entering insolvency;
2. reimbursement for annual paid leave (holiday payment) which an employee became entitled to receive within 12 month period before entering insolvency;
3. reimbursement for other types of paid absence within the last three months of the employment relationship during the 12 months before entering insolvency;
4. severance pay in minimum statutory amount stated by the law;
5. reimbursement for damages due to an accident or occupational disease for the whole unpaid period;

¹¹ This payroll tax is included in the model for all years starting from TaxBEN version 2.3.1 released in October 2021.

¹² The model assumes employees working in the private sector.

6. reimbursement for damages to be paid for four subsequent years ahead.

The claims listed above and the related compulsory state social insurance contributions and personal income tax payments shall be calculated taking into account the amount of the minimum monthly wage specified on the day when insolvency case of the employer occurred, applying a coefficient of 1.5.

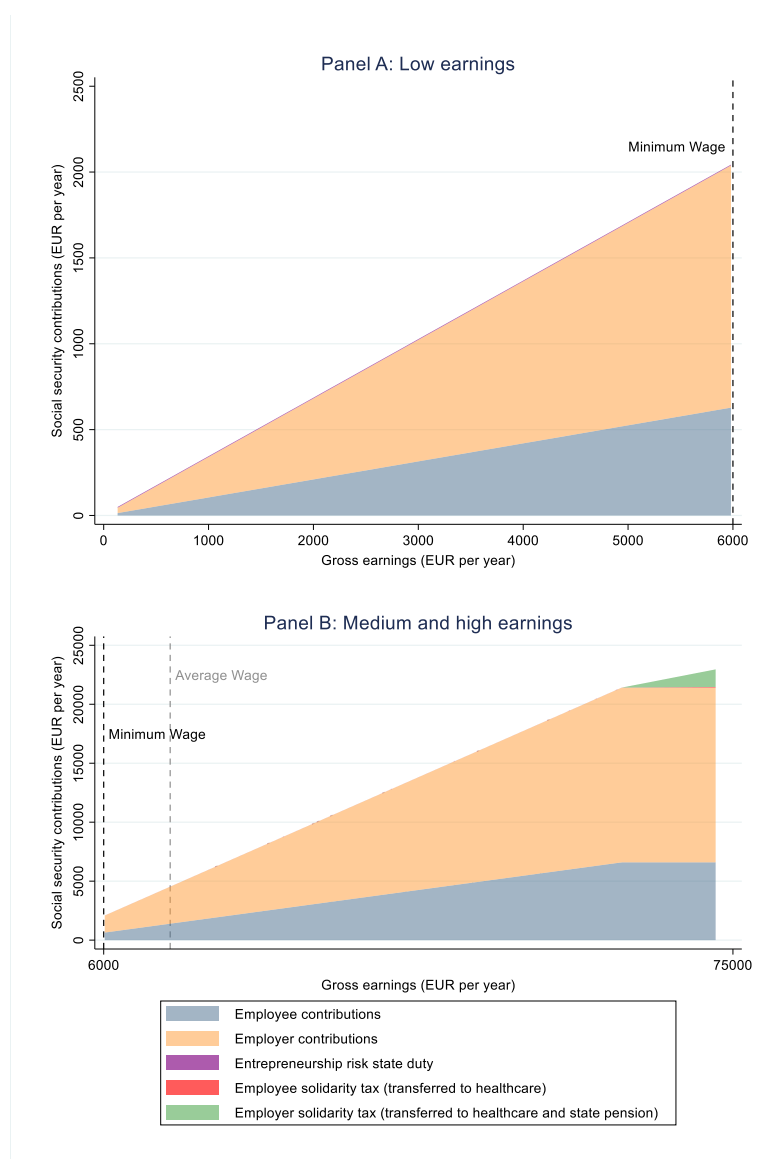
In 2021, the monthly value of duty is EUR 0.36 per payroll employee.

Values for previous year are shown in the table below:

Year	2003	2004-2005	2006-2013	2014-2021
Currency	LVL	LVL	LVL	EUR
Duty	0.75	0.35	0.25	0.36

Figure 7. Social security contributions

40-year old single person without children



Note: Social security contributions do not depend on family structure. The figure shows social insurance contributions, entrepreneurship risk state duty as well as parts of solidarity tax transferred to healthcare contributions and state pension (see description in Section 8.2.).

Source: OECD Tax-Benefit Model.

8. Taxes

Taxation in Latvia is on the individual level. Taxation period is calendar year.

8.1. Personal income tax (*Iedzīvotāju ienākuma nodoklis*)

Variable name: **[IT_p; IT_s]**

Personal income tax shall be paid for the natural person incomes. Since 2018, the personal income tax system is progressive.

8.1.1. Tax allowances

The basic tax allowance (non-taxable minimum):

Since 2016, the differentiated non-taxable minimum was introduced, meaning that the amount of basic non-taxable minimum is not fixed but depends on the income level of taxpayer. Since 2016, amount of non-taxable minimum gradually increases every year.

In 2021, the maximum non-taxable minimum is EUR 3 600 per year (TA_{max}) (EUR 300 per month) and it is applied to persons with the taxable income below EUR 6 000 per year (Y_1) (EUR 500 per month). From 2021, the income threshold, after which the PIT non-taxable minimum is not applicable, has been raised from EUR 1 200 to EUR 1 800 per month. If taxable income is between EUR 6 000 per year and EUR 21 600 per year (EUR 1 800 per month), the differentiated annual non-taxable minimum is calculated according to formula below.

$$DNTM = TA_{max} - 0.23077 \times (AI - Y_1)$$

AI - taxpayer's total amount of annual taxable income

Since 2018, the differentiated non-taxable minimum is applied every month based on the State Revenue Service (SRS) forecast of person's annual income.

Tax allowance on dependants:

In 2021, tax allowance for each dependant is EUR 3 000 per year (EUR 250 per month).

The taxpayer can apply relief for a child below 18 years old and for a child below 24 years old if he or she continues the acquisition of a general, professional, higher or special education. The child allowance relates to taxpayer's child and in certain cases - sisters, brothers, grandchildren, as well as guardianship or dependent persons. The taxpayer can also apply relief for unemployed spouse who is taking care of:

- one child below 3 years old;
- three or more children below 18 years or below 24 years old (if in education), of which at least one is below 7 years old;
- five children below 18 years or below 24 years old (if in education).

Other allowances (Eligible Expenditure):

Prior to imposing tax on income, the following expenditure of the payer shall be deducted from the amount of annual taxable income:

- Social security contributions;
- Solidarity tax.

Other allowances (Eligible Expenditure) (not covered by the model):

- expenditure for further training, acquisition of a speciality, acquisition of an education, including acquisition of interest-related education programmes for children, for the use of health and medical treatment services and payments of health insurance premiums to insurance companies;
- contributions made to private pension funds;
- payments of insurance premiums made in conformity with a life insurance to an insurance company;
- expenditure of the authors and performers of works of science, literature and art, inventions and industrial models which is related to the creation, publication, performance or other use and for which the authors and performers receive author's fees (royalty);
- amount which in the form of donation or gift has been transferred to a budget institution or association, foundation and religious organisation or the institution thereof registered in the Republic of Latvia.

8.1.2. *Tax base*

All benefits considered in the model (except sickness benefit) are not taxable. Tax base is calculated as employment income plus sickness benefit minus tax allowances. Tax allowances are first subtracted from the lowest income tax bracket, then the remaining tax allowances are subtracted from the following tax bracket.

8.1.3. *Income tax schedule*

From 2018, the progressive income tax system has been introduced (in 2017 the PIT was a flat tax rate of 23%).

The Personal income tax rates from 2021 are:

- 20% - for income up to EUR 20 004 per year;
- 23% - for income exceeding EUR 20 004 but not exceeding EUR 62 800 per year;
- 31% - for income exceeding EUR 62 800 per year (in 2020 was 31.4%).

The tax rate 20% and 23% (depending on the level of income) is applicable monthly in workplaces where a payroll tax book is submitted, but rate 23% should be applied in all other workplaces.

The rate 31.0% is calculated only in annual tax return, but during the year, the tax is paid as Solidarity tax for income above Social contribution ceiling above EUR 62,800 per year.

8.1.4. *Tax credits*

There are no tax credits in Latvia.

8.2. **Solidarity tax** (*Solidaritātes nodoklis*)

Variable names: `[soltax_ee_p; soltax_ee_s]`

From 1 January 2016 a new tax has been introduced – solidarity tax. The tax is paid for the income exceeding the social security contributions ceiling. In 2021, solidarity tax is paid for the income exceeding EUR 62 800 per year. Since 2019, the solidarity tax rate is lower than the social security contribution rate: 25.0% in 2021 (25.5% in 2020). In 2021, the distribution of the tax is:

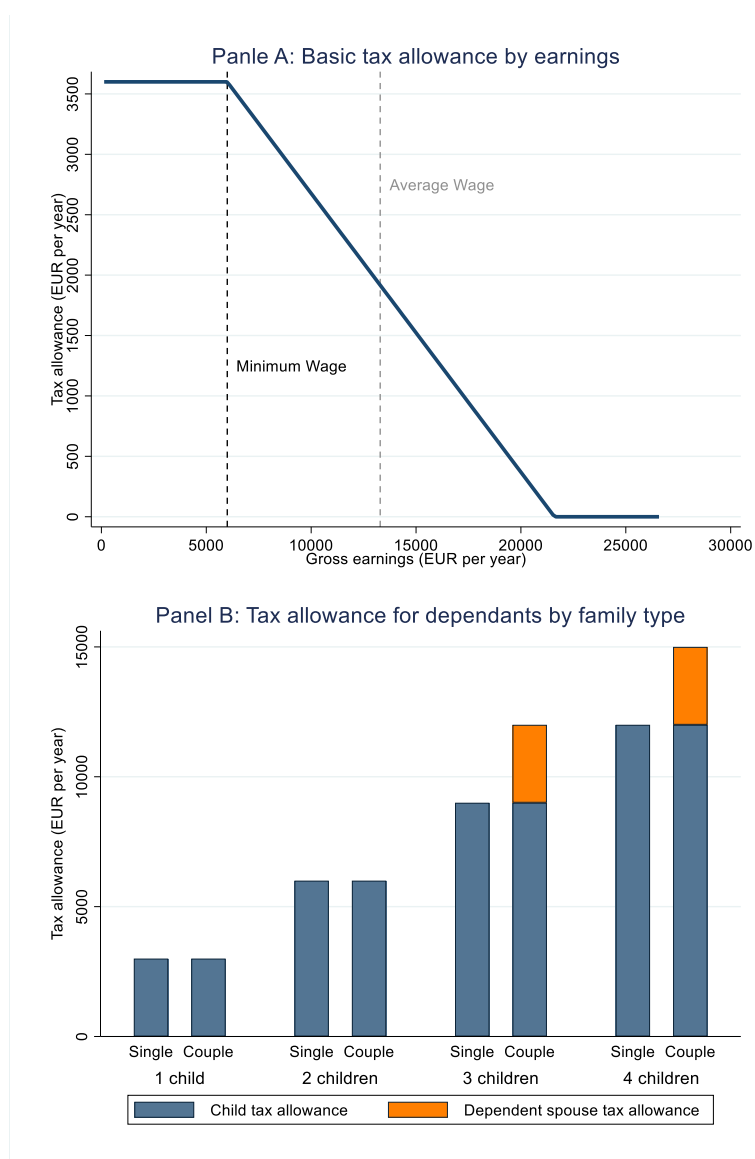
Total solidarity tax rate for incomes exceeding EUR 62 800 per year	25%
<i>From which:</i>	
State pension insurance payment (paid by employer; from 2021 not personalized payment)	14%
Health insurance payment (paid both by employer and employee)	1% (0.5% each)
Solidarity payment (paid by employee as payment of personal income tax third rate)	10%

During the year the solidarity tax rate is applied at 34.09% (social security contributions rate). The repayment of overpaid tax is made to the employer during the next tax year. In the model, the final tax is simulated.

Solidarity tax applies to all socially insured individuals – employees, self-employed, if their income over a calendar year exceeded the social security contributions ceiling. Employers are also subject to solidarity tax (in the same way as they are liable for paying employer social insurance contributions).

Figure 8. Tax allowances

40-year old single or couple with or without children

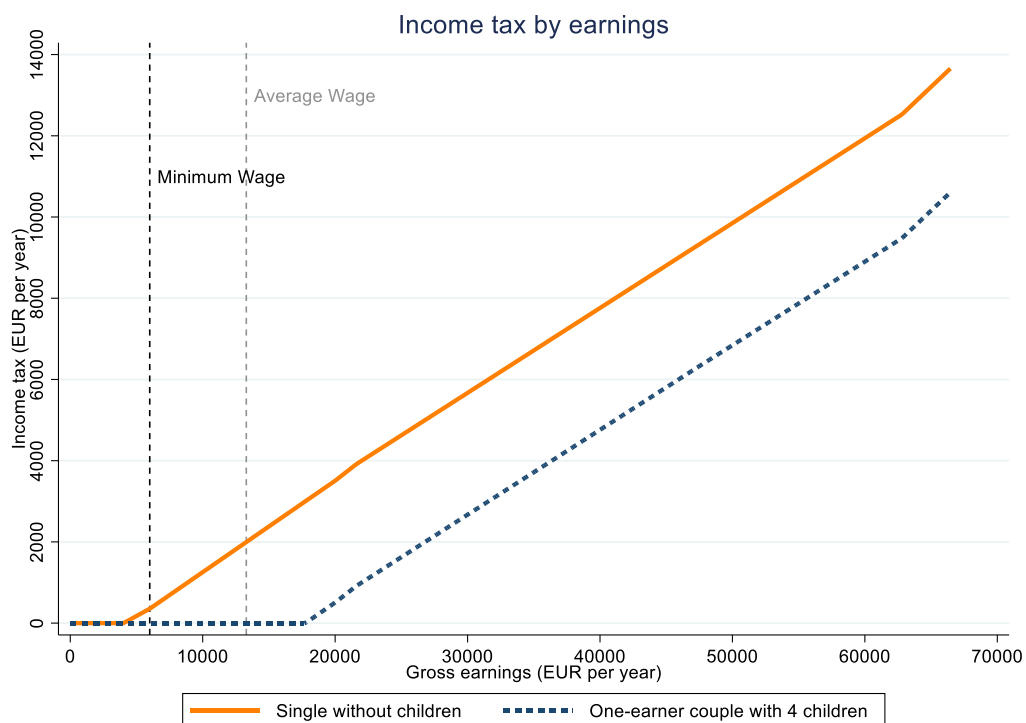


Note: The figure shows the maximum amounts of tax allowances that a person is eligible to. The actual amounts that a person can use are limited by taxable income (not shown in the figure). In Panel A, basic tax allowance does not depend on family structure, but it decreases with earnings. In Panel B, tax allowance for dependants does not depend on earnings, but it depends on the family structure. Children are assumed to be 4, 6, 8, and 10 years old. In a couple, the spouse is not working; thus, a working adult in a couple with 3 or more children is eligible to dependent spouse allowance.

Source: OECD Tax-Benefit Model.

Figure 9. Income tax

40-year old single or couple with or without children



Note: A person has no other sources of income but earnings from work. Income tax is calculated at the individual level. However, the amount of tax allowances subtracted from the tax base depends on family structure. Two cases are shown as examples: a single person without children and a one-earner couple with four dependent children. Income tax includes the part of the employee solidarity tax that is transferred to the personal income tax.

Source: OECD Tax-Benefit Model.

9. Sickness benefits

9.1. Sickness benefit (*Slimības pabalsts*)

Sickness benefit is a contributory non-means-tested benefit provided by the state to employees and self-employed in case of incapacity for work, isolation required due to quarantine, or in case of a need to care for a sick child.

The rules described in this section refer to employees. Special rules for self-employed, employees of microenterprises, and situation when the benefit is provided to care for a sick child are not covered. The rules in case of incapacity for work and isolation required due to quarantine are the same.

Apart from the state-provided sickness benefit, the employer also has obligations to provide sick pay (*slimības nauda*). This payment is described in Section 9.2.

9.1.1. Entitlement and eligibility conditions

Sickness benefit is granted to a person if social insurance contributions for sickness have been made for at least three months in the last six months (or for at least six months in the last 24 months) before the month in which the insured event occurred. The person has to have the status of an employee when the incapacity for work occurs.

9.1.2. Benefit amounts

The amount of sickness benefit is 80% of the beneficiary's average insurance contribution salary.

The average insurance contribution salary is calculated based on the insurance contribution salary of a person for a period of 12 calendar months, this period ending two calendar months before the month in which the insured event occurred. The average is computed based on the sum of salaries subject to social insurance contributions during the reference period and the number of months in this period for which contributions were made.

If the insured person has not been registered as a state social insurance contributor during the 12 months reference period, then the average insurance contribution salary shall be set at 40% of the *national* average monthly insurance contribution salary. The national average monthly insurance contribution salary is determined for a 12-month period one calendar year before the year in which the insured event occurred.

9.1.3. Benefit duration

Sickness benefit is granted and paid for the period from the 11th day of incapacity for work until the day of recovery, but no longer than:

- 26 weeks (counting from the first day of incapacity for work) if the incapacity for work is continuous, or
- no longer than 52 weeks during a 3-year period if incapacity for work recurs intermittently.

In special cases, based on the opinion of the Medical Examinations Commission, sickness benefit can be paid for a period of *continuous* incapacity for work for maximum 52 weeks (counting from the first day of incapacity for work).

If incapacity for work continues after the loss of employment status, the sickness benefit for continuous incapacity for work shall continue to be paid for 30 calendar days from the day when the person has lost employment status.

If the sick-leave certificate is issued to a person due to contracting COVID-19 or being under quarantine from 22 March 2020 until 31 December 2020, the sickness benefit shall be granted from the second day of incapacity for work (from 16 November 2020 – from the first day). The maximum

duration of the benefit and its amount (80% of the beneficiary's average insurance contribution salary) remains the same.

From 16 November 2020, the state pays sickness benefit for the first 3 days of sick leave due to respiratory diseases. If the person is tested positive for COVID-19, the state continues to pay the sickness benefit until recovery.

From 18 December 2020, temporary sickness assistance benefit was introduced for parents to care for children up to 10 years old (children with disabilities up to 18 years old) in cases when children cannot attend kindergartens, schools or day care centres due to covid-19 and parents cannot work remotely. The benefit was paid for 14 calendar days in the amount of 60% of a person's average contributions salary.

9.1.4. *Means test*

The benefit is not means-tested.

9.1.5. *Tax treatment*

Sickness benefit is included in the personal income tax base and taxed according to general tax rules. The sickness benefit is not the subject of the mandatory social insurance contributions.

9.1.6. *Interactions with other components of the tax-benefit system*

If a person is simultaneously entitled to both sickness benefit and unemployment benefit, only sickness benefit shall be paid during this period. Sickness benefit is included in means tests for guaranteed minimum income and housing benefit.

9.1.7. *Combining benefit receipt and employment/starting a new job*

The benefit is not compatible with earnings from work.

9.2. *Sick pay (Slimības nauda)*

Sick pay is technically not a benefit but income earned from paid employment, which the employer pays from the salary fund to the employee in case of incapacity for work or isolation required due to quarantine ordered by a doctor. Sickness benefit provided by the state is described in Section 9.1.

9.2.1. *Entitlement and eligibility conditions*

The employer has an obligation to provide sick pay to employees who have temporary incapacity for work certified by a sick-leave certificate, except for incapacity for work that is related to pregnancy and childbirth, and caring for a sick child – these cases are covered by the state (*not considered in the model*).

The person has to have the status of an employee when the incapacity for work occurs, but there are no conditions with respect to previous employment contributions or duration of employment.

9.2.2. *Benefit amounts*

There is a one-day waiting period. The amount of sick pay is no less than 75% of the average earnings for the second and third days of temporary incapacity for work and no less than 80% for the period from the 4th to the 10th days of incapacity for work.

The average daily earnings shall be calculated by dividing the total salary of the last six calendar months by the number of days worked during that period. The employer shall calculate the sickness allowance for the days of incapacity (hours) in which the employee would have had to work.¹³

If the sick-leave certificate is issued to a person due to contracting COVID-19 or being under quarantine from 22 March 2020 until 31 December 2020, and if a person meets social contribution requirements (see Section 9.1.1.), the state will provide person with the sickness benefit from the second day (from 16 November 2020 – from the first day) of incapacity for work (see Section **Error! Reference source not found.**

9.2.3. *Benefit duration*

Sick pay is provided for the period from the 2nd until the 10th day of incapacity for work.

9.2.4. *Means test*

The benefit is not means-tested.

9.2.5. *Tax treatment*

Sick pay is subject to taxes and social insurance contributions in the same way as earned income from employment.

9.2.6. *Interactions with other components of the tax-benefit system*

Sick pay is included in means tests for guaranteed minimum income and housing benefit.

9.2.7. *Combining benefit receipt and employment/starting a new job*

Sick pay is provided to employees during the period of incapacity for work. The benefit is terminated once the employee returns to work.

¹³ The procedure of the calculation of Average Earnings is prescribed by the Labour Law, Section 75 (<https://likumi.lv/ta/en/en/id/26019-labour-law>).

10. Short-time work schemes

This section describes two main allowances introduced as a response to the Covid-19 crisis:

- Allowance for Idle Time (described in Section 10.1.)
- Assistance Allowance for Idle Time (Section 10.2.).

Annex provides information on Allowance for Idle Time for employees working in beauty services.

10.1. Allowance for Idle Time (*Dīkstāves pabalsts*)

This allowance was introduced as a response to the Covid-19 crisis. The rules described in this section are based on two regulations.

The **first Covid-19 wave** the rules are defined by the Cabinet Regulation No. 165 (as of 28 March 2020)¹⁴. According to it, the idle time grant is an allowance paid if an employer affected by a crisis does not employ an employee or does not perform the actions required to accept the employee's obligations during the downtime due to the spread of Covid-19. Special rules for employees of self-employed are not covered.

In the **second Covid-19 wave** (from 9 November 2020), the idle time allowance, is available for employers, self-employed persons and patent payers, who are not provided with work. The rules of the second Covid-19 wave idle time allowance are based on the Cabinet Regulation No 709 (as of 28 November 2020).¹⁵

10.1.1. Entitlement and eligibility conditions

Allowance for idle time in the **first** Covid-19 wave is paid to the employees who are not provided with work due to the spread of COVID-19. The period of idle time is fixed from 14 March 2020 until 30 June 2020.

Employers are entitled to apply for the allowance if:

- their income from economic activity decreased by at least 30% in March, April, May or June 2020 in comparison with the average income of the twelve months of 2019 or the average income of those months within the period of 1 January 2019 to 1 March 2020 in which the enterprise was actually operating;
- their income from economic activity has decreased by at least 20% (in the same period as mentioned above) and the employer meets at least one of the following criteria:
 - the volume of the goods and services exported or delivered in 2019 in the territory of the European Union amounts to 10% of the total turnover or is not less than EUR 500 000;
 - the average monthly gross work remuneration in 2019 is not less than EUR 800;

¹⁴ <https://likumi.lv/ta/id/313514-noteikumi-par-covid-19-izraisitas-krizes-skartiem-darba-devejiem-kuri-kvalificijas-dikstaves-pabalstam-un-nokaveto-nodoklu>

¹⁵ <https://likumi.lv/ta/id/319073-noteikumi-par-atbalstu-par-dikstavi-nodoklu-maksatajiem-to-darbibas-turpinasanai-covid-19-izraisitas-krizes-apstaklos>

- long-term investments in fixed assets are at least EUR 500 000 on 31 December 2019.

The employer has to certify that the employee for whom the allowance is requested is not on leave for incapacity for work and will not be dismissed from work within a month after the application for the allowance.

Employers who have tax debt or have not submitted all tax returns for the last 12 months are not eligible. Employees who started work after 1 March 2020 are not eligible.

In the first Covid-19 wave allowance for idle time may be received by:

- employees who received an old-age or service pension at the same time;
- employees who provide assistant services to disabled persons at the same time;
- members of the board of companies, if they are employees at the same time, if all the employees are idle;
- staff engaged in an economic activity at the same time and income from it shall not exceed EUR 430 per month.

In the **second** Covid-19 wave allowance for idle time is paid to the employees who cannot work as a result of COVID-19. The period of idle time is fixed from 9 November 2020 until 30 June 2021, but not longer than the period for which the restrictions on economic activity related to COVID-19 are applicable.

In the second Covid-19 wave, idle time allowance is available for employers, self-employed persons and patent payers whose income from economic activity for the month for which aid is requested, has decreased by:

- at least 20% in comparison to the average income of August, September, and October 2020 during which the enterprise was actually operating;
- at least 30% in comparison of the relevant month of 2019 and income decrease is linked to restrictions on economic activity.

10.1.2. *Benefit amounts*

In the **first** wave (from 14 March 2020 until 30 June 2020), the amount of the allowance is 75% of the average monthly gross work remuneration for the period of last six months before the declaration of the emergency situation (or less if the duration of working activity was less than that). The allowance cannot exceeding EUR 700 per month per employee.

The amount of the allowance for an employee of a micro-enterprise is 50% of the average monthly gross salary in the micro-enterprise for the third and fourth quarters of 2019, but not more than in the amount of EUR 700 per calendar month.

The State Revenue Service shall inform the State Social Insurance Agency of those employees to whom the State Revenue Service has denied the allowance for idle time based on any of the criteria specified in this Regulation for an employer. Providing that, in such a case, it is possible to qualify for an assistance allowance for idle time (see Section **Error! Reference source not found.** for more details).

If the employee benefits from a personal income tax relief for a dependent child, the employee receives a supplement of EUR 50 per month for each dependent child (up to 24 years old).

In the **second** Covid-19 wave (from 9 November 2020 to 30 June 2021) the amount of grant is:

- for an employee - 70% of the declared average monthly gross earnings for the period from 1 August to 31 October 2020 or from the declared average gross earnings after 1 August 2020 in which the employee has actually worked for the particular employer, but not less than EUR 500 and not more than EUR 1 000 per calendar month;
- for an employee of a micro-enterprise - 50% of the average monthly gross salary in the micro-enterprise for the third quarter of 2020 or, the amount of support may also be determined taking into account the information at the disposal of the State Revenue Service (data declared by the employer to the State Revenue Service), if the employee has entered into an employment relationship after the third quarter of 2020; but not less than EUR 500 and not more than EUR 1 000 per calendar month.
- For the persons who, during the period of idle time, return to work after child-care leave, the aid for idle time shall be determined in the amount of 70% of the average parent's benefit granted for August, September and October 2020 but not less than EUR 330 and not exceeding EUR 1 000 per calendar month.
- For a patent fee payer – EUR 500 (in 2020 - EUR 400) if the patent is valid during the aid period or if the patent was valid for at least six months prior to the emergency situation.
- For self-employed person in general tax regime and a recipient of royalties who has not registered as a performer of economic activity - 70% of the declared average monthly gross earnings for the third quarter of 2020, but not less than EUR 500 and not more than EUR 1 000 per calendar month.
- For self-employed person micro-enterprise taxpayer – 50% of the monthly average income of the micro-enterprise tax payer from economic activity for the third quarter of 2020, but not less than EUR 500 and not more than EUR 1 000 per calendar month.

10.1.3. *Benefit duration*

In the first Covid-19 wave, the allowance can be requested for the period of idle time from 14 March 2020 until 30 June 2020. The application is submitted every month.

In the second Covid-19 wave, the idle time allowance can be requested for the period of idle time from 9 November 2020 until 30 June 2021, but not longer than the period for which the restrictions on economic activity related to Covid-19 are applicable. The application is submitted every month.

10.1.4. *Means test*

Allowance is not means-tested.

10.1.5. *Tax treatment*

The allowance is not subject to personal income tax and the mandatory state social insurance contributions.

10.1.6. *Interactions with other components of the tax-benefit system*

The employee who receives allowance for idle time cannot simultaneously receive sickness benefit or municipality benefit in crisis situation.

10.1.7. *Combining benefit receipt and employment/starting a new job*

The employee is only entitled to allowance for idle time if he has completely stopped working for a certain period of time (i.e. for the period of downtime). A person who reduced working hours, e.g. from full-time to part-time, is not eligible.

In the first covid-19 wave the allowance for idle time shall not be granted to employees who are at the same time employed in a State or local government authority or capital company (except for pedagogical or creative work) and whose income from such work does not exceed EUR 430 per month, or employees who at the same time perform economic activity and whose income from such activity does not exceed EUR 430 per month.

10.2. *Assistance Allowance for Idle Time (Dīkstāves palīdzības pabalsts)*

Assistance Allowance for Idle Time has been introduced to provide support for those workers and self-employed persons who are affected by the crisis caused by COVID-19 and not eligible for idle allowance or for whom the amount of the idle allowance is below EUR 180. Assistance Allowance is administrated by the State Social Insurance Agency.

10.2.1. *Entitlement and eligibility conditions*

Employees and self-employed with low amount of Idle Allowance have the right to an Assistance Allowance for Idle Time at the amount of EUR 180. It also applies to employees who are not eligible for the Idle Allowance because of the employer does not meet the criteria, as well as self-employed persons who not meet the criteria enabled to Idle Allowance specified by the legislation.

Assistance Allowance for Idle Time is enabled for the period from 14 March 2020 until 30 June 2020 (i.e. the first wave of Covid-19). In the second wave of Covid-19 (from 9 November 2020 until 30 June 2021), the assistance allowance is not available.

10.2.2. *Benefit amounts*

The Assistance Allowance for employees and self-employed who are not eligible to the Allowance for Idle Time (Dīkstāves pabalsts) is granted at the amount of EUR 180 per month. In addition, the State Social Insurance Agency also pays a supplement of EUR 50 for each dependent child (up to 24 years old) in proportion to the calendar days on which the beneficiary is idle.

To those employees and self-employed persons, for which the Allowance for Idle Time is paid at the amount less than EUR 180, the State Social Insurance Agency shall pay the difference to reach the amount of EUR 180.

The assistance allowance for idle time shall be granted and disbursed in proportion to the calendar days for which the person (employee or self-employed person) is idle.

10.2.3. *Benefit duration*

The allowance can be requested for the period of idle time from 14 March 2020 until 30 June 2020. The application is submitted every month.

10.2.4. *Means test*

Allowance is not means-tested.

10.2.5. *Tax treatment*

The allowance is not subject to personal income tax and the compulsory state social insurance contributions.

10.2.6. *Interactions with other components of the tax-benefit system*

The employee or self-employed who receives assistance allowance cannot simultaneously receive sickness benefit or municipality benefit in crisis situation. The allowance is included in the means tests for guaranteed minimum income and housing benefit.

10.2.7. *Combining benefit receipt and employment/starting a new job*

The allowance cannot be combined with income from employment.

11. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for Latvia 2021. TaxBEN by default produces the following output: net household incomes (**black line**) and its subcomponents (**coloured stacked areas**) for selected family and individual circumstances.

The model and the related web calculator is accessible from the [project website](#). The figure shows outputs for four scenarios:

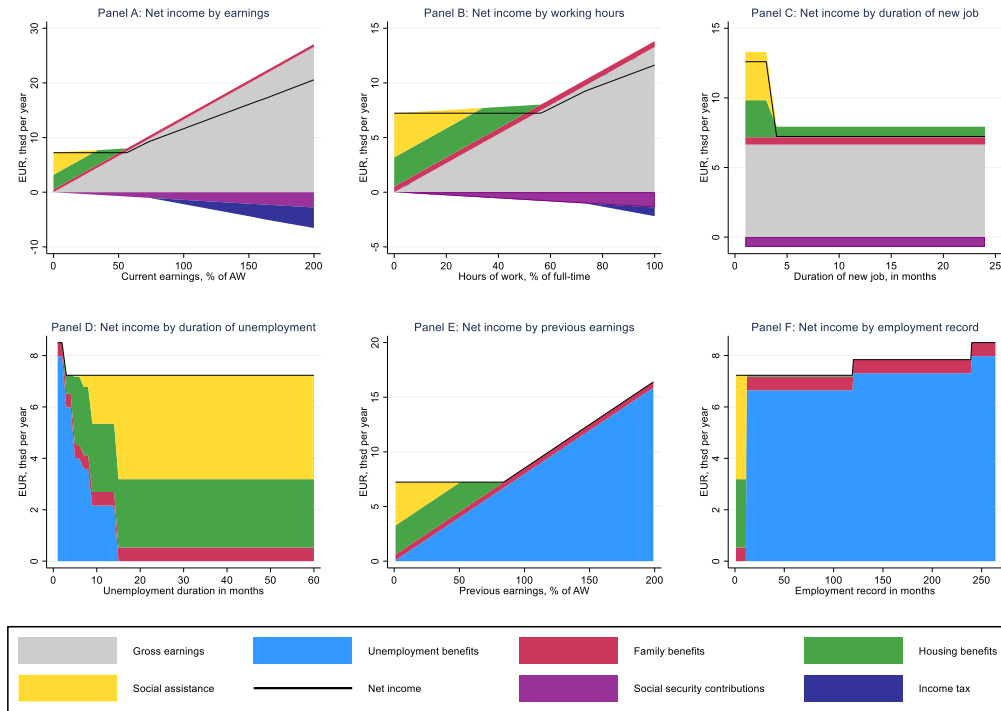
- By percentage of the average wage (**Panel A**);
- By working hours (**Panel B**);
- By duration of a new job (in months) for a person claiming social assistance who started a new employment (**Panel C**);
- By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel D**);
- By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel E**);
- By previous employment record, for a jobseeker claiming unemployment benefits (**Panel F**).

The stacked areas shows the following household income components: **GROSS** = gross earnings; **SSC** = social security contributions; **IT** = income tax; **FB** = family benefits; **HB** = housing benefits; **SA** = social assistance; **IW** = in-work benefits. Note that each component may contain more than one benefit or tax.

Results refer to a two-adult family with two children. Adults are both 40 years old whereas children are 4 and 6 years old respectively. Social assistance and housing benefit supplements are assumed to be available in all the six scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Figure 10. Selected output from the OECD tax-benefit model

40-year old couple with two children



Note: In Panel A, B, and C the first adult is employed, whereas the second adult is out of work and not eligible for unemployment benefits, e.g. because they have expired (the same is assumed for the first adult when earnings are zero). In Panel A, the first adult works full-time at different wage levels. In Panel B, the first adult earns average (hourly) wage at variable working hours. In Panel C, the first adult has just started a new full-time employment at 50% of the average wage after claiming social assistance.

In Panels D, E, and F the first adult is out of work and claiming unemployment benefits, whereas the second adult is out of work and not eligible to unemployment benefits. In Panel D and F, previous earnings of the first adult equal to the average wage. In Panels D and E, the first adult is assumed to have a 'long' employment benefit receipt of 264 consecutive months before the job loss. Panels E and F refer to the 2nd month of unemployment benefit receipt.

Source: OECD Tax-Benefit Model.

Annex: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Latvia that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

State Social Security Benefit (*Valsts sociālā nodrošinājuma pabalsts*)

State social security benefit is granted to a child that has not reached the majority (18 years) who is not married and has lost one or both breadwinners (parents). The benefit shall be paid to parents of a child, guardian or any other person that actually raises a child. The benefit payments shall be carried on if after reaching the lawful age, a person attends general or professional educational establishments and is not older than 20 or studies at day department (full time education) of any higher educational establishment and is not older than 24. The minimum amount of state social security benefit for each child is:

- up to 6 years old (including) – EUR 92.50;
- up to 6 years old (including) for a disabled child since his childhood – EUR 106.72;
- from the age of 7 onwards – EUR 111.00.

Benefit in a crisis situation (*Pašvaldības pabalsts krīzes situācijā*)

A local government is entitled to grant a benefit to a person (or a family) in a crisis situation without assessing the income, if the family (person) is unable to meet its basic needs due to a disaster or other circumstances independent from the will of the family (person), and it needs psychosocial or material assistance. The benefit in a crisis situation can be paid in cash or in kind.

During Covid-19 pandemic, 50% of the crisis benefit paid by municipalities are co-financed by the state budget but no more than EUR 40 per person per month (from 1 February 2021 – EUR 75 per person per month). The state budget also co-finances 100% of the supplement to the crisis benefit for a dependent child: EUR 50 per child per month. The state co-finances crisis benefit for a person (household) for maximum 3 months.

Benefit is paid during both emergency periods. The first emergency period was from 12 March 2020 to 9 June 2020. The second emergency period was from 9 November 2020 to 6 April 2021. The crisis benefit is paid also after the end of the second emergency period: until 30 June 2021.

Other social assistance benefits (*Citi pašvaldību sociālās palīdzības pabalsti*)

Local government is entitled to disburse other benefits with the aim to maintain the basic needs stated by Law on Social Services and Social Assistance, for example, health care, mandatory education, etc. The amount and payment procedures, as well as persons who are entitled to this allowance have to be determined by local municipality's binding regulation. These benefits can be paid in cash or in kind. Local government is entitled to disburse other benefits only if the justified demand for GMI benefits has been satisfied.

Supplement to family state benefit for disabled child (Piemaksa pie ģimenes valsts pabalsta par bērnu ar invaliditāti)

If family state benefit is granted for a child with disability under 18, an additional payment at the amount of EUR 106.72 per month shall be granted additionally to the mentioned benefit. A person that raises a disabled child keeps the right to receive this supplement regardless the payment of a family state benefit until the child reaches 18.

A lump-sum allowance for children with disabilities was granted to persons who, in the event of an emergency between 12 March and 9 June 2020 had a supplement to the state family benefit for a child with disability. Allowance amount was EUR 150. The payment was made by 30 June 2020.

Child birth benefit (Bērna piedzimšanas pabalsts)

Child birth benefit is granted to one of the child's parents or to a person who took a guardianship of a child until one year of age. The right to receive the child birth benefit is granted since the 1st day after the child has been born or since the day when guardianship is established. The amount of child birth benefit is EUR 421.17 for every born child (one-off payment).

Disabled child care benefit (Bērna ar invaliditāti kopšanas pabalsts)

This benefit is granted to a person who cares for a child for whom the State Medical Commission for Expert-Examinations of Health and Working Ability has specified disability and issued an opinion regarding the necessity for special care in relation to serious physical and functional disorders. The payment of care of disabled child benefits shall be terminated when the time period ends for which the disability and the necessity for special care have been specified, or when the child reaches the age of 18 years. From 1 July 2019 the amount of the care of disabled child benefit is EUR 313.43 per month. The state also covers social insurance contribution payments on behalf of persons receiving disabled child care benefit amounting to 20% from EUR 71.14.

Immovable Property Tax (Nekustamā īpašuma nodoklis)

The immovable property tax rate for residential houses shall be:

- 0.2% of the cadastral value, that does not exceed EUR 56 915;
- 0.4% of the cadastral share, that exceeds EUR 56 915, but does not exceed EUR 106 715;
- 0.6% of the cadastral share, that exceeds EUR 106 715.

The immovable property tax shall be reduced by 50%, but not more than by EUR 500, if the person (himself or herself, or together with the spouse) or his or her spouse has three or more children under 18 years of age (also children under guardianship or children placed in a foster family) or children under 24 years of age acquiring secondary, professional or higher education as on 1 January of the taxation year and if his or her spouse has the declared place of residence in the object together with at least three of the abovementioned children.

Allowance for Idle Time for employees working in beauty services (Atbalsts par dīkstāvi skaistumkopšanas nozarē strādājošajiem)

The rules set out in the Cabinet Regulation No. 709 (as of 24 November 2020)¹⁶ includes provisions on allowance for idle time for employees working in beauty services (Chapter III¹) as these services were banned in the course of the second Covid-19 wave. These specific provisions concerning beauty services are in force as of 23 January 2021 and applies to time period starting 1 January 2021 and until the ban is lifted (as of 1 March 2021 the ban is being gradually lifted).

During the period of restriction, support was available to employees who:

- provided the following services: hairdressing, manicure, pedicure, massage, cosmetology, solarium, tattooing, scarification, micro-pigmentation, piercing, public sauna or public swimming pool;
- were employed by an employer (legal entity or self-employed person) who provided beauty services in October, November or December 2020;
- has notified the Health Inspectorate about the commencement of economic activity.

Employees were eligible to receive 70% of the declared average monthly gross salary from 1 August to 31 October 2020, but not less than EUR 500 or more than EUR 1000 per month.

These specific provisions concerning beauty services apply to time period starting 1 January 2021 and until the ban on beauty services is lifted.

Allowance is not means-tested. The allowance is not subject to personal income tax and the mandatory state social insurance contributions.

If an employee receives allowance for idle time, he is also entitled to a supplement of EUR 50 for each dependent child (for whom personal income tax relief is applied and is up to 24 years old).

No restrictions concerning employment and starting a new job are applied as far as eligibility conditions are met.

¹⁶ <https://likumi.lv/ta/id/319073-noteikumi-par-atbalstu-par-dikstavi-nodoklu-maksatajiem-to-darbibas-turpinasanai-covid-19-izraisitas-krizes-apstaklos>